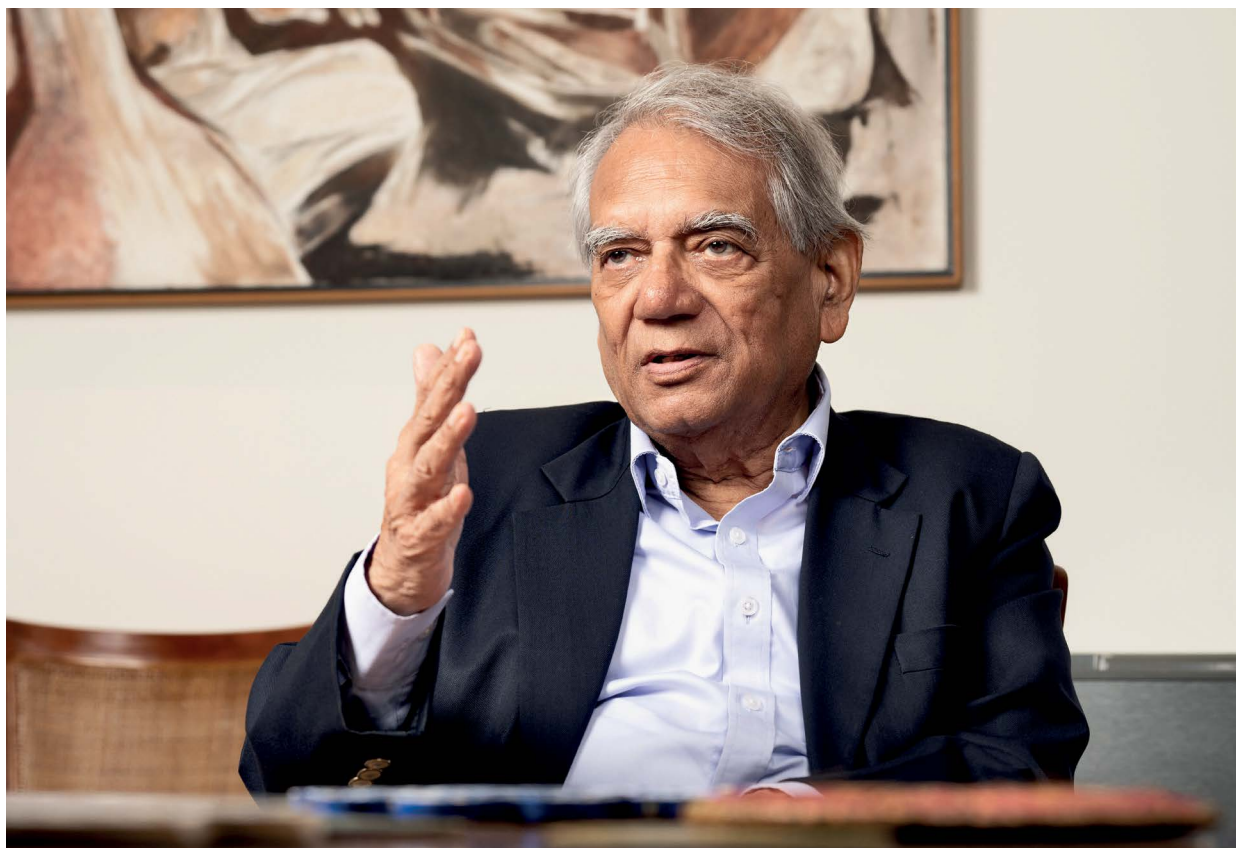




| 53

urban areas in total manufacturing was rising till the mid-2000s-2010, but has now declined. This has impacted the mobility of labour and made it difficult for them to get jobs if they are fired from one place. We need to see how we can provide land to industry more cheaply and easily in the Top 100 cities.



Can India still become a global or regional manufacturing centre?

Despite tariff reforms, India continues to have one of the highest average tariff rates globally. While the government is now looking outwards and signing a number of free trade agreements, the most meaningful ones are those signed with the UK and the EU. India needs to do more such deals.

Over the next few years, two thirds of incremental GDP and global growth will come from Asia (including South Asia). The region is clearly the future of global trade. Our imports from China, Japan and South Korea are already extremely high, in the range of \$180 billion in

all, and we export only about \$30 billion to them. We need to export more to these countries. India needs to look at FTAs with China and other Asian countries. We need to join CPTPP and RCEP to be part of regional supply chains and access the huge market available for our exports to Asia. There are over four billion people in the region, and their average GDP and per capita income will rise in the coming couple of decades.



Can we become a hub for hi-tech manufacturing?

We do have niche sectors like space and atomic energy where we are doing very well. But these are largely with the public sector. But with investments of just 0.7% of GDP in R&D, becoming a hub for hi-tech manufacturing is highly improbable. We need high-quality universities with good R&D facilities and supply of high-level technology graduates. Only then can India think of becoming a high-tech manufacturing hub. **BT**

@surabhi